

Introduction to Economics for Sport Management

Introduction and Preliminaries



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Molde University College
Specialized University in Logistics

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What is Economics for you?



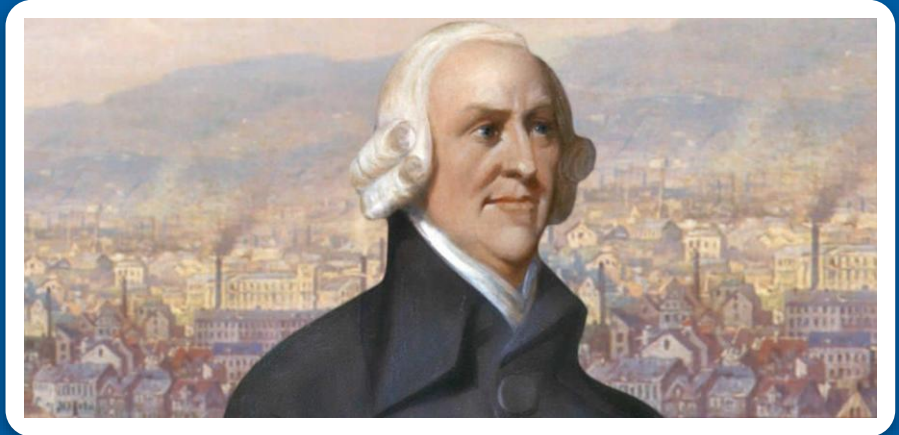
Economics

- From Ancient Greek «*oikonomia*»:
 - «*oikos*» - «family, household»
 - «*nemein*» - «management and dispensation»
 - *Oikos + nemein* = «family/household management»
- Economics as the «study of wealth» which studies the process of production, consumption, and accumulation of wealth.





Aristotle (384-322 BC)



Adam Smith (1723-90)



THINKING,
FAST AND SLOW



DANIEL
KAHNEMAN



About the course

This is a sophisticated introduction to economics and finance for students like you!

You will learn:

- The most fundamental tools that economists use
- How modern economic theory allows us to understand economic phenomena



Importance of Economic Systems

Night-lights image contrasting North vs. South Korea's economic systems.



Grading Policy

- Final exam 100%
- Exercises will be posted on Canvas as well as their solutions after we solve them in class.
- Prerequisites
 - Basic Algebra and Calculus 🧐



Course Goals

- Learn main microeconomic concepts and how to use them to analyze real world problems.
- Key Economic Concepts :
 - Marginal Costs and Benefits
 - Opportunity Costs
 - Supply and Demand
 - Value of assets
 - Interest Rate



Some Important Points

- Advanced course:
 - Use and understanding of formal language, models and math
 - Interpretation and logic reasoning
 - Real world implications
- Steep learning curve and a toolkit for future course work.



Today: Introduction and Some Basic Concepts

- Economics as a social science
- Methods and fields of study
- Basic concepts:
 - Normative versus positive analysis
 - Market Mechanism



Economics: Definition

- Economics is the study of how a society uses its limited resources to produce, trade and consume goods and services
 - Limited budgets and time for consumers
 - Limited ability to produce for producers



Economic Imperialism

A new era?

.... economists have been acting a lot like intellectual imperialists in the last decade or so. They have been using their tools ... to examine everything from politics to French wine vintages.

“The Future of Economics Isn’t So Dismal”

By DAVID LEONHARDT

Published: January 10, 2007

The New York Times

<https://www.nytimes.com/2007/01/10/business/10leonhardt.html>



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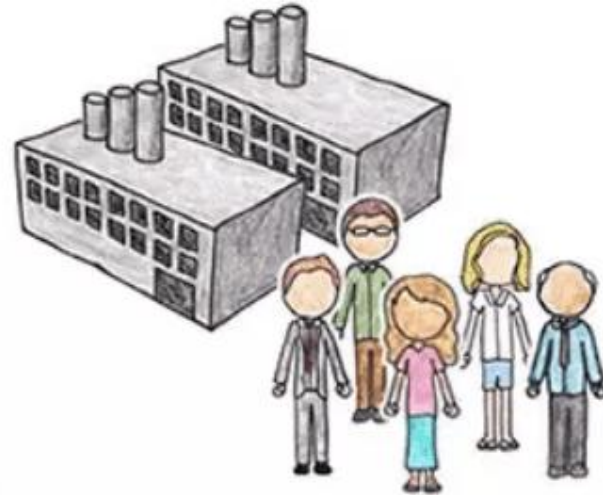
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MACRO



MICRO



Microeconomics

- Study of decisions made by individuals and businesses
 - Human behavior and decision
 - Allocation of resources



Microeconomics

- Studying individual decisions of economic units
 - Behavior of consumers: DEMAND
 - Production decisions of firms: SUPPLY
 - Interaction between agents in market environments (relevant for public policy, antitrust authorities, etc.)



Themes of Microeconomics

- Demand, Supply and Equilibrium
 - Prices
- Production theory
 - Creation and manufacture of goods and services
- Cost of production
 - Cost of resources during production
- Labor economics
 - Wages, employment, and income



Themes of Microeconomics — Example Questions

- Workers, firms and consumers must make trade-offs:
 - How do consumers make choices?
 - How do we allocate organs to transplant patients?
 - Why are wages rising faster for the top 1% than the 99%?
- Models provide insight by providing basic structure



Macroeconomics

- Macroeconomics deals with aggregate economic quantities
 - Countries and their policies
- Macro-economist questions
 - What should the rate of inflation be?
 - What causes unemployment?
 - What are the factors that stimulate or create economic growth?



Analyzes demand and supply of labor	01	Analyzes total employment in the economy
Study of decisions made by individuals and businesses	02	Study of decisions made by governments in a country
Deals with household and firm decisions	03	Deals with performance and behavior of the entire economy
Examines the individual market's behavior	04	Analyzes the sum total of the economic activity
Bottom-up approach	05	Top-down approach
Investors generally focus in-depth on microeconomics	06	Seasoned investors pay little attention to macroeconomics



The Methodology

How? Construct theories in order to:

- Understand the different forces driving the economy
- Make predictions of what will happen if these forces change
- Improve outcomes changing institutions



The Methodology (cont'd)

Use data and rigorous statistical methods in order to validate a theory :

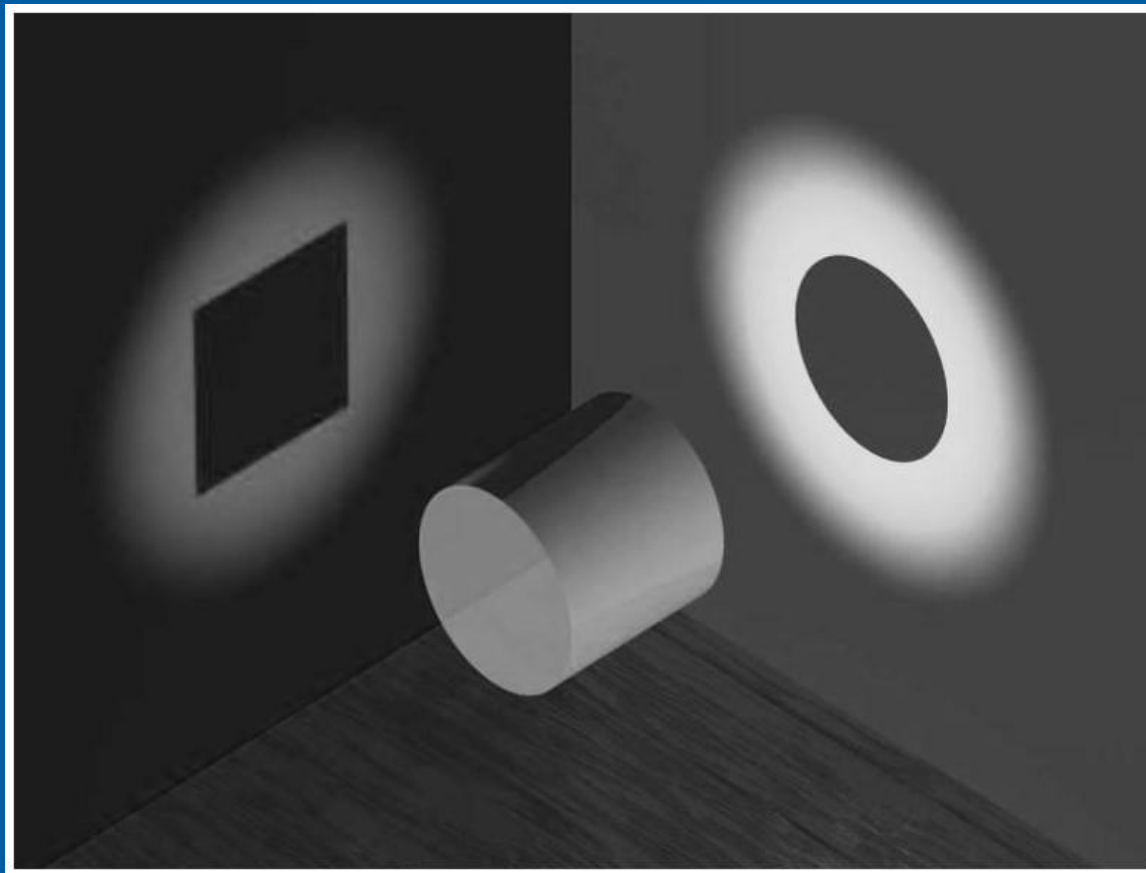
- Theories are tested and improved
- Theories are invariably imperfect – but give much insight into observed phenomena



All models are wrong,
but some are useful.

George Box, British statistician (1919 – 2013)





Theories and Models

- Theories are expressed in the form of Economic Models.
 - An economic model is a description of an economic situation via words and mathematical expressions.
 - Often mathematical expressions are depicted with diagrams.



Economic Models: Description

A model usually consists of:

- **Agents:** their resources, objectives, preferences, how they behave, etc.
- **Economic environment:** markets, contractual arrangements, other relevant institutions.



Positive & Normative Analysis

- Economists take different roles: business consultant, media analyst, advisers on government policy etc.
- It is important to understand when economists are making objective, evidence-based statements (positive analysis) and when they are making value judgements (normative analysis)



Positive Analysis

- Descriptive and factual statements about the world
- Positive does not necessarily mean «good news». Economists can make true negative-positive statements
- Positive Analysis uses scientific principles to draw objective and testable conclusions.
- Examples
 - The unemployment rate is currently at 9%
 - Molde FK is winning 1-0 against Viking FK
(Are they negative-positive statements?)





Normative Analysis

- Prescriptive and value-based statements about the world
- Normative statements use factual evidence (i.e., positive statements) as support, but they are not by themselves factual
- Normative statements incorporate opinions and morals
- Examples
 - The unemployment rate is too high
 - Molde FK is a good team.

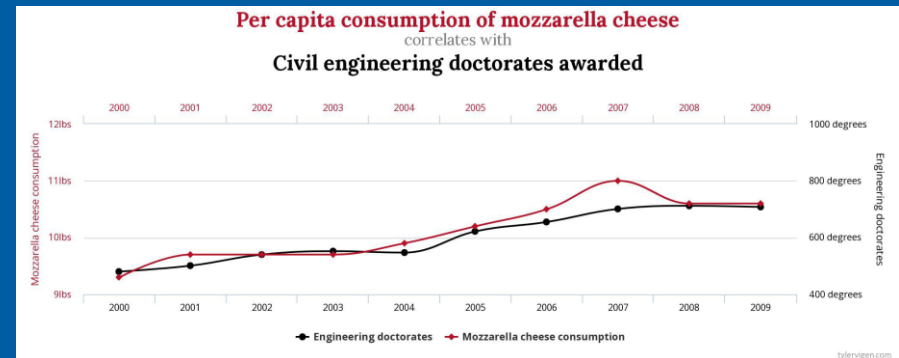
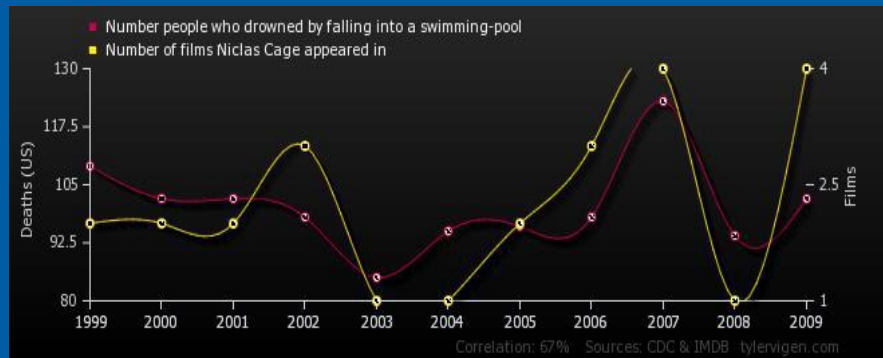
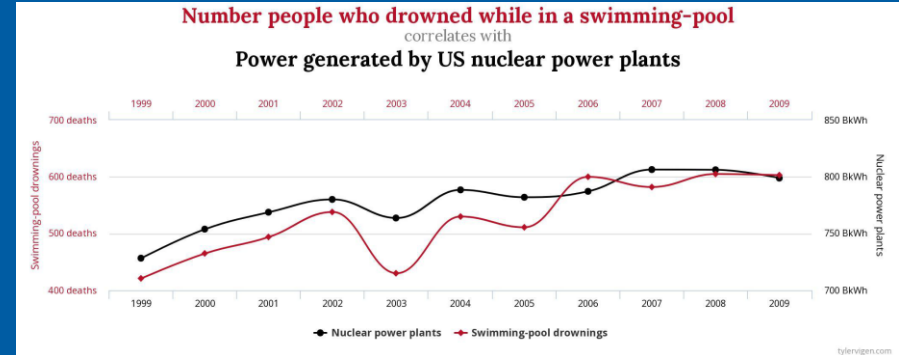
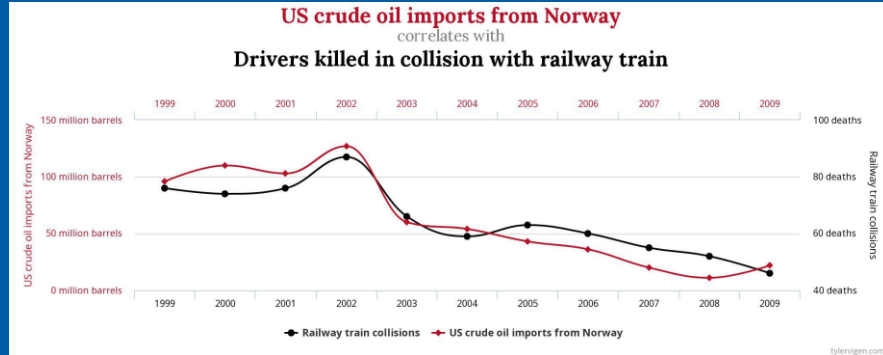


Causality versus Correlation

- First, let's watch a video!
 - <https://youtu.be/HUti6vGctQM>
- You can find nice examples of spurious correlations, which mean absolutely nothing:
 - <http://tylervigen.com/spurious-correlations>

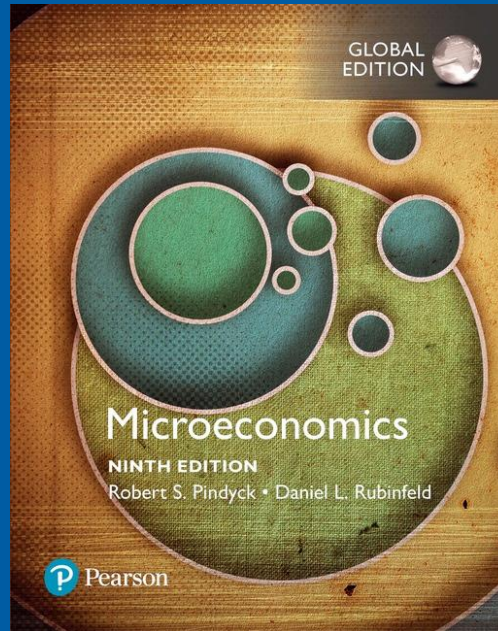


[NEW] Causality vs Correlation — Example Charts (expand slide 27)



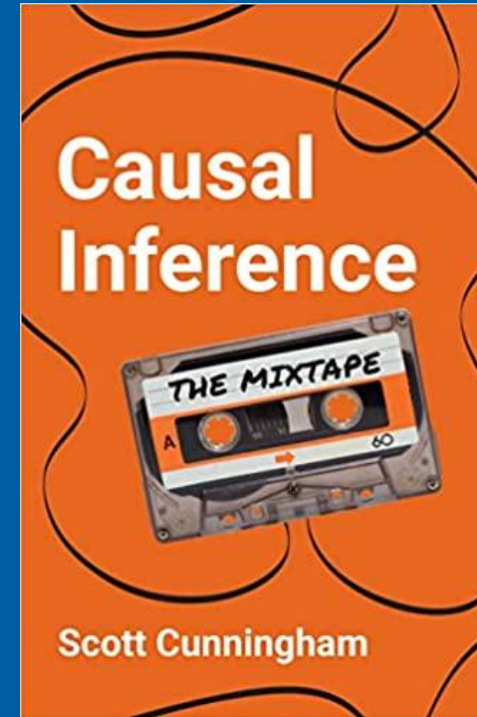
Required Reading

- “Microeconomics” edited by Pindyck, Robert S., and Daniel L. Rubinfeld



Recommended readings

- «Casual Inference: The Mixtape» - Scott Cunningham
<https://mixtape.scunning.com/index.html>



Interesting links

- GDP 

[https://ec.europa.eu/eurostat/statistics-explained/index.php?title=Beginners:GDP -
What is gross domestic product \(GDP\)?#What.E2.80.99s covered by GDP.3E](https://ec.europa.eu/eurostat/statistics-explained/index.php?title=Beginners:GDP_-_What_is_gross_domestic_product_(GDP)?#What.E2.80.99s_covered_by_GDP.3E)

- Legalizing weed 

<https://www.investopedia.com/articles/insights/110916/economic-benefits-legalizing-weed.asp>

